

investors, both directly and through mutual funds. Leisure time, textbooks, specialty retailing, home builders, land developers, direct mail insurance, lodging, semiconductors, and many other industries made their initial appearances.

Heroes in Wall Street were commonplace, led by the enigmatic Gerald Tsai, whose Manhattan Fund garnered some \$200 million in its public offering. Oh, random walk, perfect market, where were you then? The "Go-Go-Era" was in full swing, and it was fun.

It was a gigantic speculative boom that attracted a widening list of adherents. Pension funds became players, as did endowments and foundations. The convention of the Financial Analysts Federation gave way to the Institutional Investor Conference, where the heroes were worshiped at the altar of performance, complete with lavish entertainment by brokerage houses financed by swollen commissions under fixed rates.

By the late 1960's, only the Vietnam War stood between investors and Nirvana. Investors, looking back in their typical fashion, had seized upon the experience of the previous decade as the basis for constructing portfolios. Inflation had been creeping upward, but it was thought to be largely the result of the war, and faith existed that public policy could deal with it effectively. Total return investing was the only legitimate goal, and yields were unimportant. In retrospect, it seems clear that the concept of total return as it was applied then was nothing more than an unconscious rationalization of low yields and high valuations by investment managers and of higher spending rates by institutional investors. Today, when valuation levels are depressed, the concept of total return is being increasingly questioned, just when its applicability is most relevant.

Once again, the use of recent history as a prescription for the future failed miserably. There was an abundance of studies showing the historical superiority of "growth stocks." The new brand of economic uncertainty, born out of inflation, price controls, and the harsh, unfamiliar environment